The Union Government can borrow and give guarantee upon the security of the Consolidated Fund of India subject to the limits imposed by the law made by the Parliament. It can also lend or give guarantee to state governments subject to such limits. However, so far no such law has been enacted by the Parliament. (Article 292)

The state governments permitted to borrow or give guarantee upon the strength of the Consolidated Fund of the State subject to the limit set by State Legislature. If any due is pending to be paid by the State to Union Government against the loan or guarantee given by the Union the state cannot borrow without the consent of the Union. The Union may give consent subject to such conditions it imposes. (Article 292)

Funds and Accounts

To ensure common control of the tax and other receipts including borrowed funds and expenditure the Constitution established funds. It also laid down procedure for credit and appropriation of money out of those funds. To meet unforeseen expenditures also a separate fund is established.
Consolidated Fund of India: It is formed as per Article 266. In this fund the following receipts shall be credited.

a. All revenues net of tax and duties assigned to states
b. All loans raised by the Government of India by the issue of treasury bills, loans or ways and means advances (borrowings) and
c. All money received by the Government of India in repayment of loans (recovery of loan and interest)

Public Accounts of India: All other public money received by or on behalf of the Government of India shall be credited to the public account of India. That is money other than those credited to Consolidated Fund of India needs to be credited to Public Accounts